

TENTATIVE RULINGS 6-11-26
Department R17- Judge Gilbert G. Ochoa

This court follows California Rules of Court, rule 3.1308(a) (1) for tentative rulings. (See San Bernardino Superior Court Local Emergency Rule 8.) Tentative rulings for each law & motion will be posted on the internet (<https://www.sb-court.org>) by 3:00 p.m. on the court day immediately before the hearing.

If you do not have internet access or if you experience difficulty with the posted tentative ruling, you may obtain the tentative ruling by calling the Administrative Assistant. You may appear in person at the hearing but personal appearance is not required and remote appearance by CourtCall is preferred during the Pandemic. (See www.sbcourt.org/general-information/remote-access)

If you wish to submit on the ruling, call the Court call the Court, check-in and state that you will be submitting on the Tentative, and your appearance is not necessary. But you must check in.

If both sides do not appear, the tentative will simply become the ruling.

If any party submits on the tentative, the Court will not alter the tentative and it will become the ruling.

If one party wants to argue, Court will hear argument but will not change the tentative.

If the Court does decide to modify tentative after argument, then a further hearing for oral argument will be reset for both parties to be heard at the same time by the Court.

This procedure is meant to minimize your waiting time in Court.

CAMILLE WINTERS

V.

FIRSTSERVICE RESIDENTIAL, et al.

Motion: Motion to Compel Arbitration and Stay or Dismiss the Proceedings

Movant: Defendant FirstService Residential California, LLC

Joinder: Defendant Lewis Management Corp.

Respondent: Plaintiff Camille Winters

DISCUSSION

I. Defendant's Evidentiary Objections

Along with the reply, Defendant FirstService raises eight evidentiary objections against statements made in Plaintiff's Declaration.

As a preliminary matter, Defendant does not provide a proposed order as required. Rules of Court, rule 3.1354, subdivision (c), requires that a party submitting written objections to evidence submit a proposed order, which includes places for the court to indicate whether it has sustained or overruled each objection and a place for the judge's signature. Where a party's evidentiary objections do not comply with Rule 3.1354, the court does not err in either overruling the objections, or in refusing to rule on the objections. (*Schmidt v. Citibank, N.A.* (2018) 28 Cal.App.5th 1109, 1118 (“*Schmidt*”); *Hodjat v. State Farm Mutual Automobile Ins. Co.* (2012) 211 Cal.App.4th 1, 7-8 (“*Hodjat*”).)

Plaintiff's Evidentiary Objections

Along with the opposition, Plaintiff raises eleven evidentiary objections against statements made in Ms. Schwartz' Declaration.

As a preliminary matter, Plaintiff does not provide a proposed order as required. Rules of Court, rule 3.1354, subdivision (c).

Statement of the Law

California Law. Under the California Arbitration Act (“CAA”), “[a] written agreement to submit to arbitration an existing controversy or a controversy thereafter arising is valid, enforceable and irrevocable, save upon such grounds as exist for the revocation of any contract.” (Code Civ. Proc., § 1281.) Code of Civil Procedure sections 1280, *et seq.*, provides a procedure for the summary determination of whether a valid agreement to arbitrate exists, and such procedure satisfies both state and federal law. (*Rosenthal v. Great Western Fin. Securities Corp.* (1996) 14 Cal.4th 394, 413 (“*Rosenthal*”).)

Pursuant to Code of Civil Procedure section 1281.2, a party to an arbitration agreement may move to compel arbitration if another party to the agreement refuses to arbitrate, and the court

shall order the parties to arbitrate if it determines an agreement to arbitrate exists, unless it determines, in relevant part, that: (a) the right to compel arbitration has been waived by the petitioner; or (b) grounds exist for rescission of the agreement.

The party may also seek a stay of pending litigation either by itself or in conjunction with a petition to compel contract arbitration. A stay must be granted where a court has previously ordered arbitration of the dispute or an application for such an order has been made but not ruled upon. (Code Civ. Proc., § 1281.4.)

California law favors the enforcement of valid arbitration agreements. (*Ericksen, Arbuthnot, McCarthy, Kearney & Walsh, Inc. v. 100 Oak Street* (1983) 35 Cal.3d 312, 320.) Any doubts about arbitration will be resolved against the party who is asserting a defense to arbitration, whether the issue is construction of contract language, waiver, delay, or defense to arbitrability. (*In re Tobacco I* (2004) 124 Cal.App.4th 1095, 1104.)

The court must determine when a petition to compel arbitration is filed and accompanied by prima facie evidence of a written arbitration agreement whether the agreement exists, if any defense to its enforcement is raised and whether the agreement is enforceable. (*Rosenthal, supra*, 14 Cal.4th at p. 413.) The petitioner bears the burden of proving the existence of the arbitration agreement by a preponderance of the evidence. If the party opposing the petition raises a defense to enforcement, then he or she bears the burden of producing evidence and proving by preponderance of the evidence any fact necessary to the defense. (*Ibid.*) The trial court's role is to resolve these factual issues. (*Id.* at p. 414.)

Federal Law. The Federal Arbitration Act ("FAA"), at 9 U.S.C. §1, *et seq.*, also authorizes enforcement of arbitration clauses unless grounds exist in law or equity for the revocation of any contract. (9 U.S.C. § 2). The enforcement language of the FAA is almost identical to Code of Civil

Procedure section 1281. In situations governed by the FAA, conflicting state law is preempted in either state or federal courts. (*Volt Info. Sciences, Inc. v. Board of Trustees of Leland Stanford Junior University* (1989) 489 U.S. 468, 477 [“The FAA contains no express pre-emptive provision, nor does it reflect a congressional intent to occupy the entire field of arbitration But even when Congress has not completely displaced state regulation in an area, state law may nonetheless be pre-empted to the extent that it actually conflicts with federal law”].)

To compel arbitration under the FAA, a court must find an arbitration agreement exists between the parties and the agreement covers their dispute. (*AT&T Technologies, Inc. v. Communications Workers of America* (1986) 475 U.S. 643, 648-649 (“*AT&T Technologies, Inc.*”).) The enforcement of an arbitration clause is a matter of ordinary state-law contract principles. (*AT&T Mobility LLC v. Concepcion* (2011) 563 U.S. 333, 338 (“*AT&T Mobility LLC*”); *First Options of Chicago, Inc. v. Kaplan* (1995) 514 U.S. 938, 944 (“*First Options of Chicago, Inc.*”).) Arbitration agreements are on equal footing with other contracts and should be enforced according to their terms. (*AT&T Mobility LLC, supra*, 563 U.S. 333, 338.) Under the FAA, arbitration agreements can be declared unenforceable on grounds of law or equity for revocation and permits invalidating the agreement on contract defenses, e.g., fraud, duress, or unconscionability. (*Id.* at pp. 339-340.)

State rules of procedure, including those governing petitions to compel arbitration, apply in state court proceedings except where such rules would defeat the purpose of the federal law. (*Rosenthal, supra*, 14 Cal.4th at pp. 409-410.) Like California law, any doubt about the arbitrability of a dispute under the FAA is resolved in favor of arbitration. (*AT&T Technologies, Inc., supra*, 475 U.S. at p. 650.)

If the court orders arbitration under an agreement, it shall on application of one of the parties stay the action until such arbitration ends. (9 U.S.C. § 3.)

II. Analysis

Defendant FirstService moves to compel arbitration pursuant to the FAA/CAA, and on the grounds that Plaintiff agreed to and signed the Mutual Agreement to Mediate and Arbitrate Claims (the “Arbitration Agreement”). Defendant Lewis joins FirstService in seeking arbitration.

Plaintiff opposes the motion on two main grounds. She contends there is no valid agreement to arbitrate and that the agreement itself is unconscionable.

Defendant FirstService replies and disputes those positions.

Does the FAA apply? Yes.

The FAA applies to arbitration clauses involving interstate commerce. (9 U.S.C. § 2; *Aviation Data, Inc. v. American Express Travel Related Services Company, Inc.* (2007) 152 Cal.App.4th 1522, 1534 (“*Aviation Data, Inc.*”).) Involving commerce refers to “affecting commerce,” which is a term of art ordinarily signaling the broadest permissible exercise of Congress’ commerce clause power. (*Citizens Bank v. Alafabco, Inc.* (2003) 439 U.S. 52, 56.) The moving party bears the burden of demonstrating the FAA governs through declarations and other evidence. (*Shepard v. Edward Mackay Enterprises, Inc.* (2007) 148 Cal.App.4th 1092, 1101.) Alternatively, the agreement may simply provide for the FAA to govern. (*Rodriguez v. American Technologies, Inc.* (2006) 136 Cal.App.4th 1110, 1122 (“*Rodriguez*”); *Aviation Data, Inc., supra*, 152 Cal.App.4th 1522, 1534-1535; *Victrola 89, LLC v. Jaman Properties 8 LLC* (2020) 46 Cal.App.5th 337, 346 (“*Victrola 89, LLC*”).)

Here, the purported Arbitration Agreement specially states: “[t]he Parties understand and agree that [Defendant] is engaged in transactions involving interstate commerce. [¶] Except as

provided in this Agreement, arbitration shall be governed by and proceed in accordance with and be subject to the provisions of the Federal Arbitration Act; however, to the extent that the Federal Arbitration Act is inapplicable or held not to require arbitration of a particular Claim or Claims, the California Arbitration Act - Title 9 of Part III of the California Code of Civil Procedure (commencing at Section 1280, et seq.), or any successor or replacement statute(s), shall apply.” (Schwartz Decl., at ¶ 8, Exh. B at ¶ 3.) In addition, as Defendant’s Market President, Ms. Mathieson declares that Defendant is a regional subsidiary/operating entity of FirstService Residential, Inc., which is the largest residential property manager in North America, doing business in approximately 25 states. (Mathieson Decl., at ¶ 3.) She also declares that: Defendant uses interstate communication networks, including U.S. Mail, the internet, and cellular telephones, to run its business operations; Defendant maintains business contacts with out of-state vendors and uses interstate banks to conduct its business; and Defendant markets and advertises its services throughout the United States via interstate media, including its website. (*Ibid.*)

Therefore, the Court FINDS that the FAA governs because the agreement provides for the FAA to apply and Defendant’s business involves interstate commerce. (*Rodriguez, supra*, 136 Cal.App.4th 1110, 1122; *Aviation Data, Inc., supra*, 152 Cal.App.4th 1522, 1534-1535; *Victrola 89, LLC, supra*, 46 Cal.App.5th 337, 346.)

a. Does an arbitration agreement exist, and does it cover the dispute between the parties? Although a close call, no. Defendant does meet its final burden.

To compel arbitration under the FAA, a court must find an agreement to arbitrate exists between the parties and find the agreement covers their dispute. (*AT&T Technologies, Inc., supra*, 475 U.S. 643, 648-649; *Brennan v. Opus Bank* (9th Cir. 2015) 796 F.3d 1125, 1130; *Cox v. Ocean View Hotel Corp.* (9th Cir. 2008) 533 F.3d 1114, 1119.) “When deciding whether the parties agreed

to arbitrate a certain matter (including arbitrability), courts generally ... should apply ordinary state-law principles that govern the formation of contracts.” (*First Options of Chicago, Inc., supra*, 514 U.S. 938, 944.)

A contract is formed when there are parties capable of contracting who consent to a lawful objective and there is sufficient cause or consideration. (Civ. Code, § 1550.) A party moving to compel arbitration can meet its “*initial* burden to show an agreement to arbitrate by attaching a copy of the arbitration agreement purportedly bearing the opposing party’s signature.” (*Espejo v. Southern California Permanente Medical Group* (2016) 246 Cal.App.4th 1047, 1060 (“*Espejo*”), emphasis in original.) For this initial burden, “it is not necessary to follow the normal procedures of document authentication.” (*Id.* at p. 1058, citing *Condee v. Longwood Management Corp.* (2001) 88 Cal.App.4th 215, 218 (“*Condee*”).) “A plain reading of the statute indicates that as a preliminary matter the court is only required to make a finding of the agreement’s existence, not an evidentiary determination of its validity.” (*Condee, supra*, 88 Cal.App.4th 215, 219; Code Civ. Proc., § 1281.2.) Only after the opposing party challenges the validity of the purported agreement must the moving party “establish by a preponderance of the evidence that the signature was authentic.” (*Espejo, supra*, 246 Cal.App.4th 1047, 1060.)

Here, Defendant FirstService meets the initial burden as it provides a copy of the purportedly signed Arbitration Agreement. Ms. Schwartz, as Defendant’s Director of Human Resources, declares that she has reviewed the records maintained in the ordinary course of business and has provided the Arbitration Agreement, which Plaintiff appears to have electronically signed on November 21, 2019. Ms. Schwartz advises that as part of the onboarding process with Defendant, Plaintiff was provided with the New Hire Paperwork, including the Arbitration Agreement, via her personal e-mail address. (See Schwartz Decl., at ¶¶ 2-10, Exhs. A-C.) Further,

Ms. Schwartz states it is Defendant's custom and practice to retain copies of signed documents, including the New Hire Paperwork and Arbitration Agreement, in each employee's personnel file. (*Id.*, at ¶ 15.) These statements are sufficient to shift the burden to Plaintiff because Defendant shows the existence of the agreement.

"If the moving party meets its initial prima facie burden and the opposing party disputes the agreement, then in the second step, the opposing party bears the burden of producing evidence to challenge the authenticity of the agreement. [Citation.] The opposing party can do this in several ways. For example, the opposing party may testify under oath or declare under penalty of perjury that the party never saw or does not remember seeing the agreement, or that the party never signed or does not remember signing the agreement. [Citations.]" (*Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 165.) Additionally, the opposing party can declare that "she did not recall the agreement and would not have signed it if she had been aware of it[.]" (*Id.*, at p. 167.)

Here, Plaintiff in turn also meets her burden, as she sufficiently challenges the authenticity of the Arbitration Agreement. Plaintiff declares that upon receiving and reviewing the documents, she signed the documents that she understood and that pertained to her employment, but she did not sign any agreement to arbitrate or mediate. (Plaintiff Winters Decl., at ¶ 4.) Plaintiff further declares that she recalls not knowing what arbitration was or what the agreement entailed, and she received no explanation from her employer. (*Ibid.*) She also recalls seeing the disclaimer that if she signed the agreement, she would be representing that she had an opportunity to consult legal counsel before signing the agreement, but because she needed to sign the documents in the evening, she did not have an opportunity to consult legal counsel; thus, she chose not to sign the agreement to arbitrate or mediate and sent back the remaining documents to her employer (*Ibid.*) Plaintiff further declares that she did not consent to any agreement to arbitrate or mediate, and she

has no recollection of ever placing her initials on the document presented by Defendant as Exhibit B to the Declaration of Ms. Schwartz. (*Id.*, at ¶ 5.) Plaintiff lastly declares that she never consented to arbitrate or mediate any of her claims against her employer, nor has she ever agreed to waive her right to trial by jury. (*Id.*, at ¶ 6.) She then states during her employment that Defendant never asked her to revisit the agreement to provide her signature or to place her initials on the agreement. (*Ibid.*) These statements are sufficient to shift the burden back to Defendant because Plaintiff denies signing the Arbitration Agreement.

In general, an electronic signature has the same legal effect as a handwritten signature. (Civ. Code, § 1633.7; *Espejo, supra*, 246 Cal.App.4th 1047, 1061.) An electronic signature “means an electronic sound, symbol, or process attached to or logically associated with an electronic record and executed or adopted by a person with the intent to sign the electronic record. For purposes of this title, a ‘digital signature’ as defined in subdivision (d) of Section 16.5 of the Government Code is a type of electronic signature.” (Civ. Code, § 1633.2, subd. (h).) A digital signature “means an electronic identifier, created by computer, intended by the party using it to have the same force and effect as the use of a manual signature. For purposes of this section, a digital signature is a type of ‘electronic signature’ as defined in subdivision (h) of Section 1633.2 of the Civil Code.” (Gov. Code, § 16.5, subd. (d).)

Civil Code section 1633.9, subdivision (a), provides that “[a]n electronic record or electronic signature is attributable to a person if it was the act of the person. The act of the person may be shown in any manner, including a showing of the efficacy of any security procedure applied to determine the person to which the electronic record or electronic signature was attributable.” Civil Code section 1633.9, subdivision (b), further provides that “[t]he effect of an electronic record or electronic signature attributed to a person under subdivision (a) is determined

from the context and surrounding circumstances at the time of its creation, execution, or adoption, including the parties' agreement, if any, and otherwise as provided by law.”

Though not cited by either party, in *Espejo, supra*, 246 Cal.App.4th 1047, 1062, the Court of Appeal found the underneath sufficient to establish that the electronic signature was the act of the plaintiff:

Tellez detailed SCPMG's security precautions regarding transmission and use of an applicant's unique username and password, as well as the steps an applicant would have to take to place his or her name on the signature line of the employment agreement and the DRP. Based on this procedure, she concluded that the “name Jay Baniaga Espejo could have only been placed on the signature pages of the employment agreement and the DRP by someone using Dr. Espejo's unique user name and password. ... [¶] Given this process for signing documents and protecting the privacy of the information with unique and private user names and passwords, the electronic signature was made by Dr. Espejo” on the employment agreement and the DRP at the date, time, and IP address listed on the documents. These details satisfactorily meet the requirements articulated in *Ruiz*¹ and establish that the electronic signature on the DRP was “the act of” Espejo (Civ. Code, § 1633.9, subd. (a)), and therefore provide the necessary factual details to properly authenticate the document. (Footnote omitted.)

Here, Defendant FirstService in the end does not show the electronic signature was authentic by a “preponderance of the evidence.” (*Bannister v. Marinidence Opco, LLC*, 64 Cal.App.5th 541, 544 [“Where, as here, the respondent challenges the validity of the signature, ... the petitioner must ‘establish by a preponderance of the evidence that the signature was authentic.’”], Citing *Espejo, supra*, 246 Cal.App.4th 1047, 1060.) Defendant attempts to authenticate the signature by showing that the audit report supports the New Hire Paperwork was e-mailed to Plaintiff's personal email address at 8:14:01 p.m. GMT on November 21, 2019, that Plaintiff viewed the email at 8:20:31 p.m. GMT from IP address 75.142.217.165, and that the document was electronically signed by Plaintiff at 9:17:32 p.m. GMT from the same IP address.

¹ *Ruiz v. Moss Bros. Auto Group, Inc.* (2014) 232 Cal.App.4th 836, 838 (“*Ruiz*”), concluding the defendant did not present sufficient evidence to support a finding that the plaintiff electronically signed the 2011 agreement.

(Schwartz Decl., at ¶¶ 10-11, Exh. C.) In addition, Defendant notes that Plaintiff admits she was contacted by email, sent a link, reviewed the documents from home, and signed onboarding documents that evening. (Plaintiff Winters Decl., at ¶¶ 3-4.) However, there is no evidence that the typed name of “Camille Winters” was the act of Plaintiff. (See Schwartz Decl., Exh. B at p. 7.) Plaintiff denies that she signed the Arbitration Agreement. (Plaintiff Winters Decl., at ¶¶ 4-6.) Unlike in *Espejo*, where the defendant within the supplemental declaration detailed “the steps an applicant would have to take to place his or her name on the signature line of the employment agreement and the [Dispute Resolution Procedure]” (*Espejo, supra*, 246 Cal.App.4th at pp. 1051, 1053-1054, 1062), Defendant here does not. Defendant through Ms. Schwartz’s Declaration concludes that Plaintiff signed the Arbitration Agreement (See Schwartz Decl., at ¶¶ 7-8, Exhs. A-B), but there is no explanation as to how only Plaintiff could have typed her name in the signature area of the agreement. In other words, Defendant did not explain how, or upon what basis, it infers that the typed name was the act of Plaintiff. (Civ. Code, § 1633.9, subd. (a).) Defendant similarly does not explain how, or upon what basis, it infers that the initials were the act of Plaintiff. (*Ibid*; See Schwartz Decl., Exh. B at p. 7.) For example, in *Espejo*, on the signature page the plaintiff was “... prompted to either accept or decline ...” and if accepted, “he was prompted to complete his name as he would sign it. Whatever name he typed into this entry is what populated on the signature line of the contract.” (*Espejo, supra*, 246 Cal.App.4th 1047, 1054.)

Because Defendant had the burden to establish that the electronic signature on the Arbitration Agreement was the act of Plaintiff and failed to do so, the Court DENIES the motion to compel arbitration.

Ruling

After reviewing the filed papers, the Court rules as follows:

- (1) OVERRULE Defendant's Evidentiary Objections Nos. 1-8.
- (2) OVERRULE Plaintiff's Evidentiary Objections Nos. 1-11.
- (3) DENY Defendants' Motion to Compel Arbitration and Stay or Dismiss the Proceedings, as FirstService does not show by a preponderance of the evidence that a valid, signed Arbitration Agreement exists.

Movant to give notice.

Dated-

Judge